

LEGISLATURE OF THE STATE OF IDAHO
Sixty-eighth Legislature Second Regular Session - 2026

IN THE HOUSE OF REPRESENTATIVES

HOUSE BILL NO. 891

BY REVENUE AND TAXATION COMMITTEE

AN ACT

RELATING TO TAXATION; AMENDING SECTION 63-3623, IDAHO CODE, TO PROVIDE FOR CERTAIN REFUNDS WHEN SALES TAXES ARE ERRONEOUSLY PAID; AND DECLARING AN EMERGENCY AND PROVIDING AN EFFECTIVE DATE.

Be It Enacted by the Legislature of the State of Idaho:

SECTION 1. That Section 63-3623, Idaho Code, be, and the same is hereby amended to read as follows:

63-3623. RETURNS AND PAYMENTS. (a) The taxes imposed by this act are due and payable to the state tax commission monthly on or before the twentieth day of the succeeding month.

(b) All moneys collected or received by the state tax commission from the taxes, penalties, interest and fees imposed by this act shall be deposited with the state treasurer to be credited by him to the sales tax account created by this act.

(c) On or before the twentieth day of the month a return shall be filed with the state tax commission in such form as the state tax commission may prescribe.

(d) For the purpose of the sales tax, a return shall be filed by every seller. For the purposes of the use tax, a return shall be filed by every retailer engaged in business in this state and by every person purchasing tangible personal property, the storage, use, or other consumption of which is subject to the use tax, who has not paid the use tax due to a retailer required to collect the tax. Returns shall be signed by the person required to file the return or by his duly authorized agent.

(e) For the purposes of the sales tax, the return shall show the total sales at retail subject to tax under this act during the reporting period. For the purposes of the use tax, in case of a return filed by a retailer, the return shall show the total sales price of the property sold by him, the storage, use, or consumption of which property became subject to the use tax during the reporting period; in the case of a return filed by a purchaser, the return shall show the total sales price of the property purchased by him, the storage, use, or consumption of which became subject to the use tax during the reporting period.

(f) The return shall show the amount of the taxes for the period covered by the return and such other information as the state tax commission deems necessary for the proper administration of this act.

(g) The person required to file the return shall mail or deliver the return together with a remittance of any tax due to the state tax commission for the reporting period.

(h) The state tax commission, if it deems it necessary in order to insure payment to or facilitate the collection by the state of taxes, may require returns for periods other than monthly periods.

1 (i) For the purposes of the sales tax, gross amounts from rentals or
2 leases of tangible personal property which may be subject to tax under this
3 act shall be reported and the tax paid in accordance with such rules as the
4 state tax commission may prescribe.

5 (j) The state tax commission for good cause may extend, for not to ex-
6 ceed one (1) month, the time for making any return or paying any amount re-
7 quired to be paid under this act.

8 (k) Any person to whom an extension is granted and who pays the tax
9 within the period for which the extension is granted shall pay, in addition
10 to the tax, interest at the rate provided in section 63-3045, Idaho Code,
11 from the date on which the tax would have been due without the extension until
12 the day of payment.

13 (l) Upon the transfer of ownership of a motor vehicle subject to sales
14 or use tax, a certificate of title will be issued to the new owner only upon
15 presentation of evidence of payment of sales or use tax on the transaction.

16 (m) The owner of a motor vehicle or trailer required to be registered
17 by the laws of this state shall, upon demand, furnish to the officer issuing
18 such registration, satisfactory evidence that any sales or use tax to which
19 such motor vehicle or trailer is subject has been paid to this state before
20 any such registration shall be issued.

21 (n) Retail sales of tangible personal property through a vending ma-
22 chine which are taxable upon the purchase price paid by the owner or operator
23 of the vending machine pursuant to subsection (e) of section 63-3613, Idaho
24 Code, shall be reported upon the sales tax return of the owner or operator of
25 the vending machine in the manner by which the tax commission may by rule pre-
26 scribe.

27 (o) A seller who collects sales tax from a buyer when no sales tax was
28 due shall be entitled to a credit against the use tax owed by the seller on
29 that transaction pursuant to section 63-3621, Idaho Code, for any "use" as
30 defined in section 63-3615(b), Idaho Code. The amount of the credit shall
31 not exceed the amount of use tax due to the state with respect to that trans-
32 action. When credits have been taken by the seller on transactions where use
33 tax was owed instead of sales tax, no additional credits shall be allowed un-
34 der this subsection for subsequent transactions after the seller has been
35 made aware that use tax was owed instead of sales tax. If a buyer who has
36 paid sales tax when no sales tax was due requests a refund from the seller,
37 the seller shall refund the amount of sales tax paid by the buyer. The seller
38 may take a credit or seek a refund from the state tax commission equal to the
39 amount of sales tax refunded to the buyer less the use tax due by the seller.

40 SECTION 2. An emergency existing therefor, which emergency is hereby
41 declared to exist, this act shall be in full force and effect on and after
42 July 1, 2026.